

goods and service tax, but we need to celebrate the political cooperation that enabled the implementation of VAT. India being recognised as a trillion-dollar economy (thanks to the declining dollar), becoming a global topper in stock markets, recording the highest-ever outward FDI and the highest-ever inward remittances—these are the other achievements of this regime.

Even though Chidambaram can't take credit for all these milestones, he has steered his ship well. If his coalition partners or Leftist supporters hobbled growth, it hasn't shown. Perhaps we must find a way to introduce the concept of "growth lost" in the budget so that people know the impact of politics on growth. Loss of growth due to stalled policy could add up to almost 2 per cent of GDP by some estimates. What is more costly is the hardship unleashed and the employment that could not be created. Chidambaram may take the credit for the Fiscal Responsibility and Budget Management Act, but history seems to be catching up with him. Once again under his watch, the Government is poised to implement the Sixth

Pay Commission report. We know what the 1997 exercise did to the wage and pension bills of states and the Centre. Just as we worry about a slowdown, we can see fiscal discipline flying out of the windows on Raisina Hill.

Little has been done to make delivery systems in the Government efficient. The finance minister had said that outcomes matter much more than outlays. He even sought to make the outcome report an annual affair. And the first report is as dismal as the growth or fiscal record is impressive. The record on delivery of government services to the poor is far from satisfactory. Whether it is the National Family Health Survey, or the CAG report on Employment Guarantee, the outcomes are discouraging. There are far too many children still undernourished or out of school or not receiving mid-day meals. Far too many unorganised workers have no social security at all, even though there is a pension scheme in place. Far too many rural folk are denied the right guaranteed under NREGA. This Government has strengthened tax information network and helped widen

the tax net. It has encouraged the usage of smart cards on toll roads. But it is unable to target the poor. NREGA or the Public Distribution System can benefit immensely by smart card technology, so why are we not using it? The same could be said about targeting kerosene or the fertiliser subsidy.

Ten years ago, Chidambaram, in his earlier innings as finance minister, had initiated a debate on cutting non-merit subsidies on sectors like transport and higher education. The total estimated size of such subsidies then was a whopping Rs 1.4 lakh crore. Presumably it is much higher now. But today we find that the subsidy burden is growing. The fertiliser subsidy, now hidden partly behind opaque bonds, is fast approaching the size of India's defence budget. Higher agricultural productivity calls for increased fertiliser usage, but not more subsidy. Why can't we give direct cash benefit to farmers instead of supporting inefficient producers as well as foreign producers who end up benefiting from our domestic fertiliser subsidy? Farmer suicides are the tip of the iceberg of deep distress in some parts of rural India. Mindless untargeted subsidies may aggravate the situation.

This is Chidambaram's last budget before his Government seeks to get re-elected. All his achievements on the fiscal front are in danger of being undone by ballooning subsidies swept under the carpet. There is absolutely no doubt that fiscal restraint is helping growth by freeing up investible resources for the private sector, and by keeping interest rates low. It is equally undeniable that reorienting subsidies into more public spending (irrigation and roads) in rural areas is imperative. The finance minister did well by unfurling his sails to take advantage of the winds of global growth. But now, his steering will require giving growth impulses to the domestic economy. Hence the best road is straight and narrow—stick to fiscal restraint, encourage tax buoyancy by cutting surcharges on taxes, and make subsidies reach the poor. Leave the rest to the economy.

Best wishes for February 29.

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